

shareholder service, and values rooted in the proven principles of long-term investing and of trusteeship that demands integrity in serving our clients.

How do we get there, in addition to the five-step (well, five-dream) program I have just outlined? First, we do so by having faith in the majesty of simplicity, helping investors to make the uncertain but necessary judgments to determine their allocation between stocks, with their opportunity for growth of capital and the attendant risks, and bonds, with their income productivity and relative stability, and then doing everything in our power to diversify these investments and minimize the costs—management fees, operating costs, marketing expenses, turnover impact—promising only to give investors their fair share of financial market returns: no more, no less. Again, if index funds are the best way to assure the realization of these goals, so be it.

We also need to build, not just fund companies that are amalgamations of financial products, but *companies that stand for something*. As one who has been at that task for better than five decades, I can tell you that it is a tough, demanding, never-ending task. My own goal has been to build a company that stands for *stewardship*. Let me be clear, however, that this goal is not without a self-serving aspect. For only to the extent we adequately serve the human beings who have entrusted us with the management of their wealth will Vanguard itself survive and prosper.

Others will have to define their own firms, but I hope that stewardship will become at least part of their character, because stewardship pays off. In this industry, we tend to define success in terms of dollars under management, cash flow, market share, and new accounts opened. But real success can't be measured by such numbers. Rather, success must be defined in terms of service quality, and of providing investors with their fair share of whatever returns our financial markets are generous enough to bestow on us. Success must also be measured by the character and values of our firms, not only in our words but in our deeds.

Above all, our success depends on keeping the faith—the faith of those human beings who have entrusted us with their precious hard-